

Custom Managed Portfolios

Guardian Capital Canadian Balanced

Quick facts

Asset class:
Balanced

Management style:
GARP¹

Number of holdings:
53

Sub-advisor:
Guardian Capital

Portfolio manager:
Aviso Wealth

Minimum investment:
\$150,000

Inception Date:
July 1, 1997



What does the strategy invest in?

This strategy focuses on long-term capital growth supplemented by dividend income attained through the investment in a diversified basket of Canadian and foreign (mostly US) large capitalization equities.

How has the strategy performed?

Average annual compound returns

	3 month	YTD	1 yr	3 yr	5 yr	10 yr	SI
Portfolio	8.37%	14.26%	24.25%	7.73%	7.74%	6.54%	7.71%
Benchmark ⁵	8.16%	11.90%	20.91%	5.75%	7.08%	5.97%	7.40%

Calendar year returns

	2023	2022	2021	2020	2019	2018	2017
Portfolio	12.33%	- 7.26%	13.36%	7.10%	13.24%	- 2.78%	7.74%
Benchmark ⁵	9.73%	- 7.81%	13.52%	7.86%	16.33%	- 4.66%	6.47%

Standard deviation	5.26%	Sortino ratio	1.61	Downside capture	89%
Sharpe ratio	1.16	Beta (Equity)	0.79	Upside capture	72%

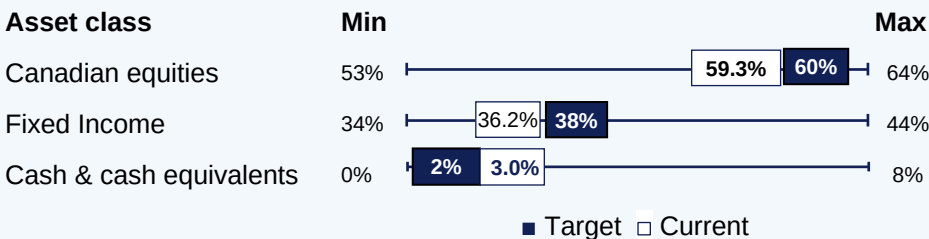
Largest holdings

1. CMHT 1.750 06/15/30	5.1%	6. BROOKFIELD CORP VTG CL A	3.2%
2. ROYAL BANK OF CDA	4.4%	7. BCPRV 5.400 06/18/35	3.1%
3. CIBC	3.7%	8. BCPRV 4.150 06/18/34	2.9%
4. CMHT 3.550 09/15/32	3.6%	9. SUNCOR ENERGY INC NEW	2.7%
5. AGNICO EAGLE MINES LTD	3.5%	10. LOBLAW COS LTD	2.6%

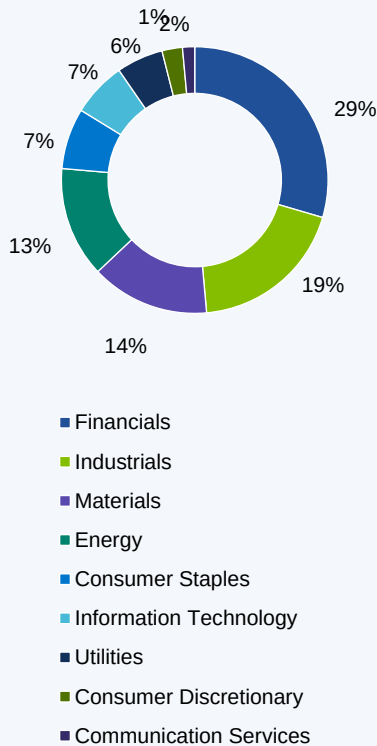
Portfolio attributes

Dividend yield	Portfolio Yield	Bond YTM	Average Credit Rating	Average Duration	Average market cap	Portfolio turnover
2.21%	2.80%	3.77%	A+	7.2	\$55.17 B	48%

Target allocations



Sector breakdown



Geographic allocation



Quarterly commentary

Market Review

The S&P/TSX Composite Index returned 10.5% in the third quarter of 2024, buoyed by strong performance in the Real Estate (+23.0%), Financials (+17.0%), and Utilities (+16.6%) sectors. Energy (+1.9%), Industrials (+2.7%), Consumer Staples (+6.0%), and Consumer Discretionary (+7.8%) sectors all lagged the broader market.

Market sentiment was positive over the quarter, fueled by cooling inflation and stable economic growth in Canada, which boosted investor confidence. Canadian banks showed resilience with steady earnings and maintained strong capital positions. Steady demand was seen in commodities in part due to ongoing global geopolitical factors and infrastructure investments. The Bank of Canada (BoC) announced its third rate cut of the year on September 4, 2024, bringing the overnight lending rate down to 4.25% from the previous rate of 4.5%.

Below the border, the US Federal Reserve (Fed) cut its federal funds target range by 50 basis points from 5.25%- 5.5% to 4.75%-5%, which helped fuel gains across the board. Notably, the yield curve de-inverted during the quarter, a milestone that can sometimes signal future economic softness. Better-than-expected GDP growth helped boost market confidence, easing fears of a potential economic slowdown.

Oil prices endured volatility, attributable to a combination of geopolitical tensions, supply concerns and global demand. Ongoing conflicts such as the Russia-Ukraine war continued to create uncertainty in the global oil supply chain. Global demand for oil fell to below pre-pandemic levels while supply remained strong, particularly from Canada, Brazil, and the U.S. The combination of strong supply and lower demand created an imbalance, pushing oil prices downward. The WTI settled at \$68.17, down from \$81 per barrel in June.

On the Fixed Income side, bond markets rallied strongly this quarter, as inflation continued to moderate, and the Bank of Canada (BoC) cut its policy rate by 25 basis points in both July and September to 4.25%; and the U.S. Federal Reserve (Fed) also lowered the fed funds target rate by 50 basis points to 5%.

Global central banks elsewhere also increasingly took steps to move away from highly restrictive policy stances this quarter. The European Central Bank lowered its policy rate by a further 25 basis points in September, while the Bank of England cut its bank rate by 25 basis points in August; and central banks in Switzerland, Sweden, Denmark and New Zealand also made cuts in the quarter.

Domestically, the result was a bull-steepening of the yield curve (short term rates decreasing more than long-term rates) with the FTSE Canada Universe Bond Index up 4.66% and all major subcomponents also finishing in positive territory. Longer duration bonds (FTSE Canada Long Term Overall Bond Index +5.75%) notably outperformed their shorter duration counterparts (FTSE Canada Short Term Overall Bond Index, +3.4%) for the three-months ended September 30, reflecting shorter term bonds greater sensitivity to interest rate changes.

Corporate bonds (FTSE Canada All Corporate Bond Index, +4.67%) closely matched government bonds

performance in the period (FTSE Canada All Government Bond Index, +4.66%), as credit spreads on BBB-rated bonds continued to tighten, while credit spreads on AA and AAA-rated bonds ended the quarter slightly wider.

The anticipated ongoing easing cycle in both Canada and the U.S. is expected to remain a positive driver for fixed income assets in the months ahead. Rate volatility, however, appears likely to persist as markets reassess the path for policy rates against ongoing concerns over the economic outlook, escalating geopolitical tensions in the Middle East, uncertainties around the upcoming U.S. election and fiscal deficit outlook.

The Canadian dollar (CAD) appreciated marginally relative to the US dollar (USD) during the quarter, ending June at 1.3679 CAD per USD and closing the quarter at 1.3525 per USD.

Portfolio Outlook & Positioning

Although inflation has clearly peaked in Canada and the US, it remains unclear when long-term inflation expectations will settle into the target range therefore dictating central bank policy. The Canadian dollar strengthened during the quarter with the Bank of Canada announcing its third rate of the year, with expectation of two more rate cuts to end 2024. Across the border, the US dollar weakened, and bond yields fell as strong economic data, and the US Federal Reserve's rate cut in September 2024, signaled a shift towards a more accommodative monetary policy. Despite the onset of central banks easing globally, it is not clear whether the US and Canadian economies will fall into recession. Caution is warranted, however, as rates are still at elevated levels versus a few years ago, companies and consumers still need to refinance existing debt on an ongoing basis.

At the company level, falling inflation and slowing growth could introduce revenue headwinds. Falling inflation is simultaneously a headwind for revenue growth and welcome relief from escalating input costs. As such, companies are increasingly flagging slowing revenues, but resilient earnings are being supported by cost cuts. Over time, we expect higher-quality companies to overcome these headwinds, providing attractive opportunities, but investors need to be increasingly selective.

The portfolio maintains a strong quality bias and remains diversified across cyclical and defensive companies. Economic headwinds are expected to affect all portfolio holdings to various degrees; however, we believe that as labour markets and supply chains continue to normalize, multiple companies in the portfolio should benefit, irrespective of the economic outlook.

From a Fixed Income perspective, the global economy has been resilient so far this year, as growth in the U.S. is expected to return to trend over the next few quarters. The rising slack in the Canadian economy, due to consumer

spending, should recover as interest rates trend lower. The economies of the EU and Asia are slowly starting to improve. In all, recession risks look to be contained as the business cycle extends.

A global easing cycle under moderating growth, coupled with a fall in the stock-bond correlation (i.e., bonds providing a portfolio hedge), generally support a longer duration overweight. However, key risks such as inflation or wages reaccelerating, as well as geopolitical and uncertainty around the outcome of the U.S. election, may result in bear-flattening yield curve or cause credit spreads to widen. As a result, relative to the benchmark, the Manager is leaning towards shorter duration but overweight credit with a bias towards higher quality and lower beta.



GUARDIAN CAPITAL LP

Investment manager overview

Guardian was formed in 1962 and is one of Canada's longest-established, independent investment counselling firms. Over its 50-year history, Guardian has offered its investment management expertise in balanced fund management, equity management and fixed-income management to pension fund clients, institutions, operating and endowment funds, charitable organizations, mutual funds and high net worth individuals. Guardian Capital Inc. is wholly-owned by Guardian Capital Group Limited. The parent company's common and non-voting Class A shares are listed on the Toronto Stock Exchange.

Investment philosophy

Guardian's investment philosophy is to achieve a prudent balance between risk tolerance and return enhancement. This balance is key to successful longer-term performance. Guardian also believes that longer term success will be achieved through fundamental research, superior security selection and implementation of a disciplined approach. They utilize both a "bottom-up" and "top-down" approach for portfolio construction with primary emphasis on a "bottom-up" process.

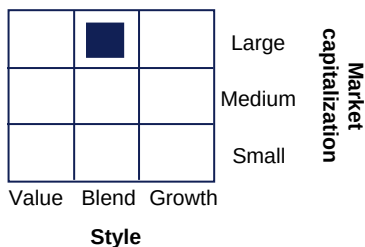
Investment process and risk controls

The Canadian Balanced mandate is designed as a well-diversified mandate by sector/industry and security selection with a "growth-at-a-reasonable-price" style. Guardian seeks out companies which have the potential to grow sales (top-down) and earnings (bottom-up) faster than the economy, faster than their peer group and faster than the market as a whole. They focus on companies which will provide a fairly stable and predictable earnings path in the future. Within the bond component they attempt to add value by purchasing bonds that are mis-priced relative to their credit fundamentals and by anticipating changes in the direction of interest rates.

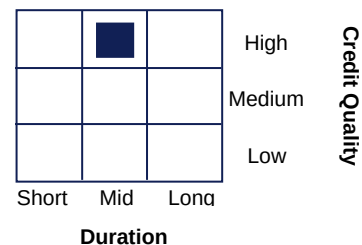
The overall emphasis combines a bottom-up view (approximately 80%) with a top-down view (approximately 20%). Individual equity security selection is based on in-depth knowledge of each company through a proprietary screening process (which includes an SRI screening). The top-down approach includes a thematic (i.e., demographics, technology, globalization, etc.) outlook for the economic, social and political trends which might affect the market as a whole and the underlying sectors, industries and securities within the market.

Risk management is an integral part of the decision-making process. They seek out companies which have strong balance sheets, superior management teams and a catalyst which is expected to have a positive impact on price performance over time.

Equity style²



Fixed Income style³



About Aviso Wealth

Aviso Wealth is part of Aviso, one of Canada's largest independent wealth management firms. Owned by the credit unions, we serve hundreds of thousands of investors at credit unions across Canada.

With approximately \$130 billion of assets under administration and management, Aviso has the resources to bring the best products and services to credit unions and their members. Invest with confidence, with your credit union and Aviso.

- Nearly 30 years as the wealth management provider to credit unions across Canada
- One of Canada's largest independent wealth management firms
- Parent company of Aviso Wealth, NEI Investments, and Qtrade
- Owned by Canada's credit unions and Desjardins



¹ GARP (Growth at a reasonable price)

² Style represents the aggregate characteristics of the underlying holdings within this model. Market capitalization measures the aggregate market value of the outstanding shares of a company. Large-cap stocks are defined as the group that accounts for the top 70% of the capitalization of each geographic area; mid-cap stocks represent the next 20%; and small-cap stocks represent the balance.

³ Duration measures the sensitivity of the fixed income investments to interest rate changes measured in years. In general, the longer the duration, the more sensitive the investment will be to interest rates changes. Credit quality measures the underlying issuer's ability to repay their debt.

The return data is as at September 30, 2024. Indicated rates of return are historical annual compounded total returns including reinvestment of all distributions for the period ended, and do not take into account management expenses, account sales, redemption, distribution or optional charges or income taxes payable by any security holder that would have reduced returns.

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⁵ The benchmark is 60% S&P/TSX Composite TR Index; 40% FTSE Canada Universe Bond Index

Aviso Wealth Inc. ('Aviso') is a wholly owned subsidiary of Aviso Wealth LP, which in turn is owned 50% by Desjardins Financial Holding Inc. and 50% by a limited partnership owned by the five Provincial Credit Union Centrals and The CUMIS Group Limited.

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